

## 25STCV20613 25STCV20613

County: los-angeles

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Case Number: 25STCV20613 Hearing Date: August 3, 2026 Dept: 508

Superior Court of California

County of Los Angeles

Department

508

MARGARET MOLLOY, et al.,

Plaintiffs,

vs.

MDI HOMES, LLC,

Defendant.

Case No.:

25STCV20613

Hearing Date:

August 3, 2026

Hearing Time:

2:00 p.m.

[TENTATIVE] ORDER RE:

DEFENDANT MDI

HOMES, LLC's DEMURRER TO PLAINTIFFS' COMPLAINT

Background

On

July 11, 2025, Plaintiffs Margaret Molloy and Peter Demian (jointly, "Plaintiffs") filed a complaint against MDI Homes, LLC ("MDI"), alleging two causes of action for (1) violation of Los Angeles Municipal Code §§ 151.04, 151.10, and (2) declaratory relief.

MDI

previously demurred to Plaintiffs' complaint, which the Court sustained in its entirety on January 15, 2026.

On

February 3, 2026, Plaintiffs filed a first amended complaint ("FAC") alleging three causes of action for (1) violation of Los Angeles Municipal Code §§ 151.04, 151.10, (2) declaratory relief as to current legal rent, and (3) declaratory relief as to the applicability of the Los Angeles Rent Stabilization Ordinance to the Rental Unit Under L.A.M.C. §§ 151.01, et seq.

MDI demurs to Plaintiffs' FAC.

Plaintiffs oppose. MDI replied.

Request

for Judicial Notice

The Court grants MDI's request

for judicial notice of Exhibit A.

For

Exhibit B, MDI seeks judicial notice under Evidence

Code sections 452, subdivisions (b) and (c), which allows "[r]egulations and legislative enactments issued by or under the authority of the United States or any public entity in the United States" and "[o]fficial acts of the legislative, executive, and judicial departments of the United States and of any state of the United States" to be judicially noticed. However, Exhibit B appears to be an email from the Los Angeles Housing Department, which is not an

official act or a legislative enactment. Further, an email is “not reasonably subject to dispute and [] capable of immediate and accurate determination,” so it cannot fall within the catch-all provision of Evidence Code section 452, subdivision (h). Accordingly, the Court denies MDI's request for judicial notice of Exhibit B.

Legal

Standard

“A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda, (2007) 147 Cal.App.4th 740, 747.) In testing the sufficiency of the complaint, the court assumes the truth of properly pleaded factual allegations, facts reasonably inferred from those expressly pleaded, and judicially noticed matters. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) “A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed.” (SKF Farms v. Superior Court, (1984) 153 Cal.App.3d 902, 905.) Accordingly, “[w]hether the plaintiff will be able to prove the pleaded facts is irrelevant to ruling upon the demurrer.” (Stevens v. Superior Court (1986) 180 Cal.App.3d 605, 609-10.)

Under Code of Civil Procedure section 430.10 subdivisions (e) and (f), a demurrer may be filed if the pleading is uncertain or does not state facts sufficient to constitute a cause of action. For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (Aubry v. Tri-City Hosp. Dist. (1992) 2 Cal.4th 962, 967.)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment, otherwise, it is abuse of discretion. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.)

Discussion

MDI

demurs to Plaintiffs' FAC for being defective in two ways: first, because the property is not subject to LARSO, Plaintiffs' causes of action are invalid; second,

Plaintiffs improperly brought this action in court, when “California law is clear that Plaintiffs must challenge that decision through the proper administrative and judicial channels.” (Dem., 4:12-13.)

A.

Allegations of the FAC

Plaintiffs

allege the following: “Plaintiffs are tenants residing in a rental unit in the City of Los Angeles that is not otherwise exempt from the City of Los Angeles Rent Stabilization Ordinance (Los Angeles Municipal Code §§ 151.00, et seq., hereinafter ‘LARSO’), and the address is 3841 South Beethoven Street, Los Angeles, California 90066 (the ‘Property’).” (FAC, ¶ 11.) “During Plaintiffs’ tenancy, the Defendants, or an agent thereof, intentionally demanded, accepted, or retained payments of rent in excess of the maximum rent or maximum adjusted rent permitted at that time.” (FAC, ¶ 20.) “Defendants demanded, accepted, or retained excess rent in at least the following ways:

a. From July 15, 2000 to the present,

Defendant and / or their predecessors in interest, have continuously demanded, accepted, and retained rent from the Plaintiffs without having procured or served valid rent registration or rent registration renewal statements from the Los Angeles Housing Department. Monthly rent has been illegally demanded, collected, and retained without proper LAHD registration for at least twenty years of Plaintiffs nearly twenty-six year tenancy – amounting to approximately 240 rental payments demanded, accepted, and retained, in violation of LAMC § 151.05.

b. Rent increases by more than the

maximum allowable percentage increase permitted under LARSO, on at least the following occasions: (1) On or about June 1, 2017, Plaintiffs’ monthly rent was increased from \$1875.00 to \$1,968.00 – an increase of 4.96% – in excess of the maximum 3% rent increase permitted by the LARSO for the period of July 1, 2016 to June 30, 2017; (2) On or about April 1, 2024, Plaintiffs’ rent was increased from \$1968.00 to \$2,086.00 a month – an increase of approximately 5.9% – in excess of the maximum 4% rent increase permitted by the LARSO for period of February 1, 2024 through June 30, 2024.

c. Imposition of rent increases without

properly serving the proper written notice of rent increase;

d. A reduction in housing service(s)

without a proper corresponding reduction in rent equal to the value of the reduced housing service(s);

e. An unpermitted late fee;

f. An increase in rent for additional

occupants more than 60 days after the Landlord's actual or constructive knowledge of the alleged additional occupants; and/or

g. Utility charges (e.g., water,

electric, natural gas, trash, etc.) without a contractual [sic] without a written agreement related to the division of utility charges on a property with a single meter."

(Compl.,

¶ 21 [emphasis in original].) Plaintiffs further allege that "[a]s a result of the aforementioned demands and collections of excess rent in violation of the law, among others, Defendants have stolen money that rightfully belongs to Plaintiff thereby damaging Plaintiff." (Compl., ¶ 22 [emphasis in original].)

B.

Property Subject to the Los Angeles Municipal  
Code

MDI

asserts that the FAC alleges "three causes of action: (1) alleged LARSO violations based on rent increases, notice, and fees, and (2) declaratory relief claims expressly seeking a judicial determination of LARSO's applicability and the consequences that would follow. Each claim turns entirely on that single threshold issue." (Dem., 4:6-10.) Specifically, "[t]he alleged rent overcharges, notice violations, and fee claims exist only if the Property is subject to LARSO. Likewise, each request for declaratory relief is expressly directed at establishing LARSO coverage and the consequences that would follow from such a determination." (Dem., 6:2-5.) MDI asserts that "that issue has already been resolved by the agency charged with administering the Ordinance. The Los Angeles Housing Department has determined that the Property is not subject to LARSO. Public records for the Property identify its Rent

Stabilization Ordinance status as 'No.'" (Dem., 6:6-9 [emphasis in original].)

Defendants'

request for judicial notice demonstrates that the City of Los Angeles' Department of City Planning parcel profile report lists the property as not subject to the Rent Stabilization Ordinance. (RJN, Ex. A.) However, the Court notes that the report is from March 24, 2026. In the FAC, Plaintiffs allege they have occupied the property "for at least twenty-six years." (FAC, ¶ 17.) MDI does not unequivocally demonstrate that the property has been exempt from the Rent Stabilization Ordinance for the past twenty-six years. Moreover, as Plaintiffs assert in opposition, "[c]rucially, the documents that Defendant seeks judicial notice, even if accepted by the Court, do not stand for the propositions that Defendant claims – that an official, administrative review process took place resulting in a final, binding administrative determination that Plaintiffs' rental unit is not subject to the LARSO." (Opp., 5:17-20.)

The

Court agrees that the document provided does not affirmatively demonstrate the property is not currently or has not previously been subject to LARSO. Accordingly, the Court does not sustain the demurrer on the basis that the property is not subject to LARSO.

C.

Proceeding in an Administrative Forum

MDI

asserts that "[h]ere, the Los Angeles Housing Department has already determined that the Property is not subject to LARSO, as evident from the City's public records and documents submitted with MDI's Request for Judicial Notice. Plaintiffs never challenged that determination through administrative mandamus or any other authorized procedure. That failure is fatal. Because every claim in the FAC depends on the opposite premise, Plaintiffs' action is nothing more than an impermissible collateral attack on a binding administrative determination." (Dem., 7:18-23.) However, as the Court noted above, MDI's request for judicial notice of Exhibit B was not granted. Because a demurrer may only lie "where the defects appear on the face of the pleading or are judicially noticed" (SKF Farms v. Superior Court, supra, 153 Cal.App.3d at p. 905), there is no indication that a binding administrative determination occurred.

Moreover,

MDI contends that “[t]he statutory framework underscores why this dispute belongs in the administrative forum. The Los Angeles Municipal Code § 151.00 et seq. establishes a comprehensive and accessible process for challenging Housing Department determinations. Section 151.14, for example, provides a streamlined mechanism for review before the General Appeals Board, including flexible filing options, fee waivers for qualifying applicants, and procedures to ensure complete factual development. It also authorizes hearing officers to adjudicate allegations that a party ‘willfully or knowingly’ made false statements or failed to disclose material facts—the very misconduct Plaintiffs allege against MDI (FAC ¶ 19)—with further review available to the Rent Adjustment Commission.” (Dem., 8:12-20.)

Plaintiffs’

opposition first asserts that “[a]ll rental units in the city of Los Angeles are subject to the provisions of the LARSO, unless the unit qualifies for one of the articulated exceptions to the definition of ‘Rental Unit.’” (Opp., 5:23-24.) Plaintiff contends that “[t]he LARSO contains no section delineating the Los Angeles Housing Department or any other commission as responsible for making administrative determinations as to the applicability of the ordinance. While Defendant’s demurrer, misleadingly citing LAMC § 151.14, claims that the LARSO ‘...expressly allows tenants to seek review through the General Appeals Board...’, LAMC §151.14 does no such thing. Rather, LAMC § 151.14, to be read in conjunction with LAMC § 151.07, is related to the application process for landlords who seek rent adjustments beyond the automatic adjustments as permitted by LAMC § 151.06.” (Opp., 6:4-10.)

Plaintiffs

bring their causes of action under the Los Angeles Municipal Code sections 151.04 and 151.10. Section 151.04, subdivision (A), provides that “[i]t shall be unlawful for any landlord to demand, accept or retain more than the maximum adjusted rent permitted pursuant to this chapter or regulation or orders adopted pursuant to this chapter. Whereas section 151.10 provides remedies. Specifically, “[a]ny person who demands, accepts or retains any payment of rent in excess of the maximum rent or maximum adjusted rent in violation of the provisions of this chapter, or any regulations or orders promulgated hereunder, shall be liable in a civil action to the person from whom such payment is demanded, accepted or retained for damages of three times the amount by which the payment or payments demanded, accepted or retained exceed the maximum rent or maximum adjusted rent which could be lawfully demanded, accepted or retained together with reasonable attorneys’ fees and costs as determined by the court.” (L.A. Mun. Code, § 151.10, subd. (A).)

MDI

contends that Plaintiffs are subject to an administrative forum, due to Los Angeles Municipal Code section 151.14. However, that section provides that “[w]henever the provisions of this chapter provide that applications or requests for hearing or appeals be filed in the office of the Department, such applications or requests for hearing or appeals may be filed in any of the branch offices of the Department.” (L.A. Mun. Code, § 151.14, subd. (B).) Additionally, as Plaintiffs contend, Los Angeles Municipal Code sections 151.14 and 151.07 should be read in conjunction. Section 151.14 pertains to filing an application for rent adjustments, requests for hearing, and appeals, while section 151.07 provides for the authority of the department and the commission to grant individual rent adjustments. Los Angeles Municipal Code section 151.14 applies to landlords, providing, inter alia, that “[t]he Department, in accordance with such regulations and guidelines as the Commission may establish, shall have the authority to grant adjustments in the rent for a rental unit or units located in the same housing complex upon receipt of an application for an adjustment filed by the landlord.” (L.A. Mun. Code, § 151.07, subd. (A)(1).) If a tenant contests this, they may request a hearing. Under the same code section, “[t]he determination of the Department shall be final unless a request for hearing is filed by or on behalf of the applicant or an affected tenant, and such request is received by the Department within 15 days after the mailing of the findings and determination. A request for hearing shall be in writing and filed in the office of the Department upon a form and with the number of copies required by the Department.” (L.A. Mun. Code, § 151.10, subd. (A)(3)(a).)

Additionally,

Plaintiffs contend that “[t]here is no clear California state law that ‘Plaintiffs must challenge’ the ‘decision’ of LAHD through administrative or judicial channels. (See Defendant’s Demurrer, p. 4).” (Opp., 6:20-21.) Further, “[d]espite Defendant’s broad claims that the LARSO provides a ‘...comprehensive and accessible administrative framework to challenge department determinations,’ as articulated in Section IV(B) supra, a reading of the plain language of the LARSO itself reveals no such ‘comprehensive and accessible’ framework. The LARSO provides absolutely no administrative remedy for a tenant seeking a declaration of their rights as to the statute’s applicability to their unit, and damages for rent overpayments.” (Opp., 6:25-7:2.)



MDI's

demurrer also contends that "[e]ven if the prior determination did not already resolve the issue, this Court should decline to adjudicate Plaintiffs' claims under the doctrine of primary jurisdiction" or the "related doctrine of abstention." (Dem., 7:24-28.) "[T]he primary jurisdiction doctrine allows courts to take advantage of administrative expertise," and "the appropriate procedure for a court that applies the primary jurisdiction doctrine is to stay the lawsuit pending a decision by the administrative agency." (Bradley v. CVS Pharmacy, Inc. (2021) 64 Cal.App.5th 902, 913 [internal quotations omitted].) "Case law states that a court may abstain from adjudicating a suit that seeks equitable remedies if 'granting the requested relief would require a trial court to assume the functions of an administrative agency, or to interfere with the functions of an administrative agency.'" (Blue Cross of California, Inc. v. Superior Court (2009) 180 Cal.App.4th 1237, 1258.)

MDI

asserts that "[t]his case falls squarely within those principles. Whether a property is subject to LARSO is a determination entrusted in the first instance to the Los Angeles Housing Department, which possesses specialized expertise in interpreting and applying the Ordinance. Plaintiffs' claims would require this Court to re-decide that issue, second-guess the agency's determination, and effectively substitute its judgment for that of the body charged with administering the regulatory scheme." (Dem., 8:6-11.) As noted above, there is no indication that an administrative decision was made.

Plaintiffs

assert that "Defendant's conclusory assertions that both the doctrines of primary jurisdiction and abstention are applicable such that this Court is required to give deference to 'administrative expertise,' are without merit. Again, there exists no regulatory scheme under which the Los Angeles Housing Department has been given any 'special competence' to determine legal questions of the LARSO's applicability to a rental unit." (Opp., 7:17-21.) Plaintiffs cite Bradley v. CVS Pharmacy, Inc., supra, 64 Cal.App.5th at p. 919 where the court stated that under primary jurisdiction, the "issue is not whether the courts are capable of adjudicating [a plaintiff's] claims, but whether those claims require the resolution of issues which, under a regulatory scheme, have been placed within the special competence of an administrative body." (Internal quotations omitted.) Plaintiffs contend that "[h]ere, aside from the LARSO's total silence on granting LAHD such special competence, the Court only

need to read the plain language of the LARSO's definition of 'rental unit' to see that interpretation of such an ordinance requires absolutely no special competency by an administrative agency." (Opp., 7:25-28.) Plaintiff contends "[t]he LARSO's protections apply to all 'Rental Units' in the city of Los Angeles," unless a unit fits within an exception, and "[t]here is nothing inherently specialized in determining whether Plaintiff's rental unit can fit under one of these exemptions. Plaintiffs alleges in their FAC that their unit is not exempted, an allegation which this Court must accept as true for purposes of this demurrer, and a determination of which Plaintiffs property seek from this Court in these judicial proceedings." (Opp., 8:1-16.)

Based

on the foregoing, MDI does not demonstrate that Plaintiffs are required to exhaust administrative remedies before pursuing violations of Los Angeles Municipal Code sections 151.04 and 151.10.

Additionally, MDI does not demonstrate that the causes of action are better determined in an administrative forum. Plaintiffs properly brought their causes of action in court, so the Court declines to stay proceedings and order an administrative hearing. Moreover, MDI's reply contends that "[t]he factual determination of whether a specific property qualifies for an exemption — such as whether 3841 South Beethoven Street was actually constructed, used, or registered as a single-family home — involves property records, construction history, and zoning classifications that LAHD routinely evaluates and that fall squarely within the agency's institutional expertise." (Reply, 8:10-13.) However, the Court does not believe that the documents and knowledge necessary to pursue or defend against Plaintiffs' causes of action could not be obtained through discovery. Accordingly, the demurrer to Plaintiffs' FAC is overruled in its entirety.

Conclusion

Based

on the foregoing, MDI's demurrer to the FAC is **OVERRULED** in its entirety. MDI is ordered to file its Answer to the FAC within 20 days of this Order.

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MDI

is ordered to provide notice of this Order.

DATED: August 3, 2026

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Hon. Teresa A. Beaudet

Judge, Los Angeles Superior  
Court